

MEMO

To: Retention Strategy & Marketing Teams

From: Data & Analytics

Date: October 15, 2025

Subject: Pre-Campaign Churn Risk Analysis & Required Interventions

Before launching blanket retention campaigns and broad discount distribution, we have analyzed the customer dataset (as of Sep 30, 2025) to understand specific drivers of churn. Targeting everyone indiscriminately will erode margins. Instead, we recommend investigating the following validated churn hypotheses:

Key Churn-Risk Hypotheses (Backed by EDA)

1. The "Silent Churn" Web Profile (Engagement Risk)

- *Data Observation:* Customers exhibiting 0 cart_adds_30d and less than 3 sessions_30d in the web events snapshot have an overwhelmingly higher churn rate over the next 60 days.
- *Action:* Trigger re-engagement emails (content/education, not necessarily discounts) for users who cross the 15-day inactivity threshold.

2. Negative Support Sentiment & Delayed Resolutions (Experience Risk)

- *Data Observation:* Customers with support tickets flagged with negative sentiment_score (< 0.0) combined with resolution_hours > 24h are highly correlated with immediate churn. "Late delivery" and "damaged item" are the highest-risk issue types.
- *Action:* Implement a service recovery protocol. High-LTV customers experiencing a late delivery should receive an immediate proactive apology and an expedited shipping credit before they churn.

3. Discount Dependency (Price Sensitivity Risk)

- *Data Observation:* A cohort of customers only purchases when discount_pct is > 30%. Their intervention_history shows frequent "bundle_discount" campaigns.
- *Action:* We must avoid conditioning these users to wait for sales. We should test non-monetary retention levers (e.g., early access to new launches, loyalty points) on this segment.

4. The "High Return" Pattern (Product Risk)

- *Data Observation:* Customers with a returned == 1 flag on their most recent order have a 40%+ elevated probability of churn.
- *Action:* Investigate the categories driving these returns (e.g., Hair Care vs. Skin Care). Send personalized follow-ups asking for feedback to salvage the relationship after a return.

5. Onboarding Failure (Lifecycle Risk)

- *Data Observation:* Customers acquired recently (low days_since_signup) who have not been assigned to a loyalty_tier show a sharp drop-off.
- *Action:* The retention team should review the initial 14-day onboarding flow. Encouraging loyalty program sign-ups immediately post-purchase creates a sticky habit.

Recommendation:

Please review the attached EDA charts for visual breakdowns of these segments. The upcoming predictive API will allow your CRM to automatically tag these users so campaigns can be directed only to those showing the behavioral distress signals outlined above.